living standards could lead rural families to withdraw women from the labour force. Also, higher prosperity could lead to greater investment in educating girls (for the age group 10 to 24) again leading to lower participation in the workforce.

3. TO SUMMARIZE

In sum then, when we examine food inflation, a substantial portion stems from an increase in food production costs, primarily rural wage inflation. Some of that is an increase in real wages, needed to attract labour to agriculture, away from construction, education, household work, or MGNREGA.

If, however, wages elsewhere also go up, the necessary shift in relative wages to keep agricultural work attractive will not take place, and we will continue to have a wage spiral. Also, some of the agricultural wage growth may be because of more liquidity flowing into rural areas. Somewhat paradoxically, to contain food inflation and get a strong increase in food production, we need to

(i) Contain the rise in wages elsewhere so that relative wages in agriculture can rise without too much overall increase in wages.

(ii) Contain any unwarranted rise in rural wages as well as the rise in other agricultural input costs (though not through subsidies) so that the farmer gets a higher return.

(iii) Allow food prices to be determined by the market and use minimum support prices to provide only a lower level of support so that production decisions do not get distorted or the price wage spiral accentuated. This means limiting the pace of MSP increases going forward.

(iv) Reduce the wedge between what the farmer gets and what is paid by the household by reducing the role, number, and